

OPTION SELLING STRATEGIES & ADJUSTMENTS

Bear call spread

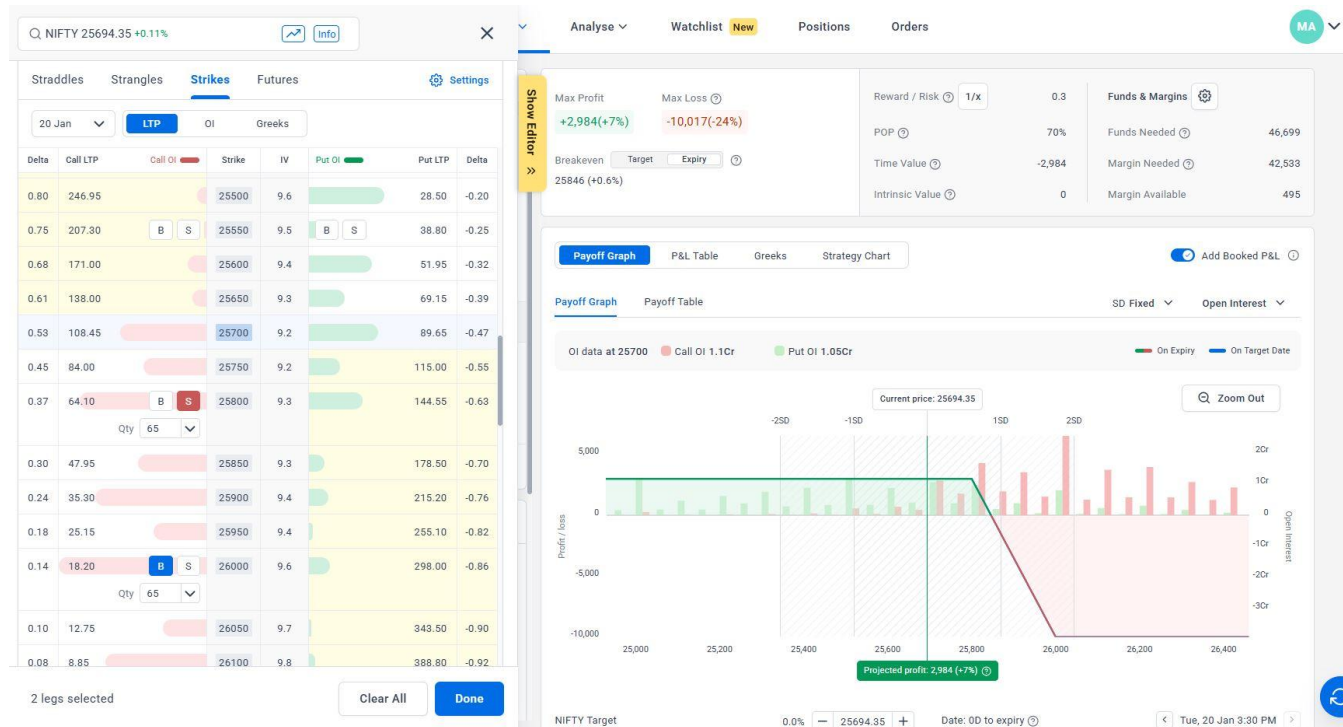
What is ?

A Bear Call Spread is selling a Call option at a lower strike and buying a higher strike Call for protection (credit spread).

When to Use

- Mildly bearish market view
- Expect limited downside or sideways movement
- Want directional trade with limited risk

Implementation and payoff graph



Maximum Profit

- Limited
- Net credit received
- Achieved when both Calls expire worthless

Maximum Loss

- Limited
- Strike difference minus net credit
- Occurs when price closes above higher strike

Break-even Point

- $BE = \text{Sold Call Strike} + \text{Net Credit}$

Bull put spread

✓ What is ?

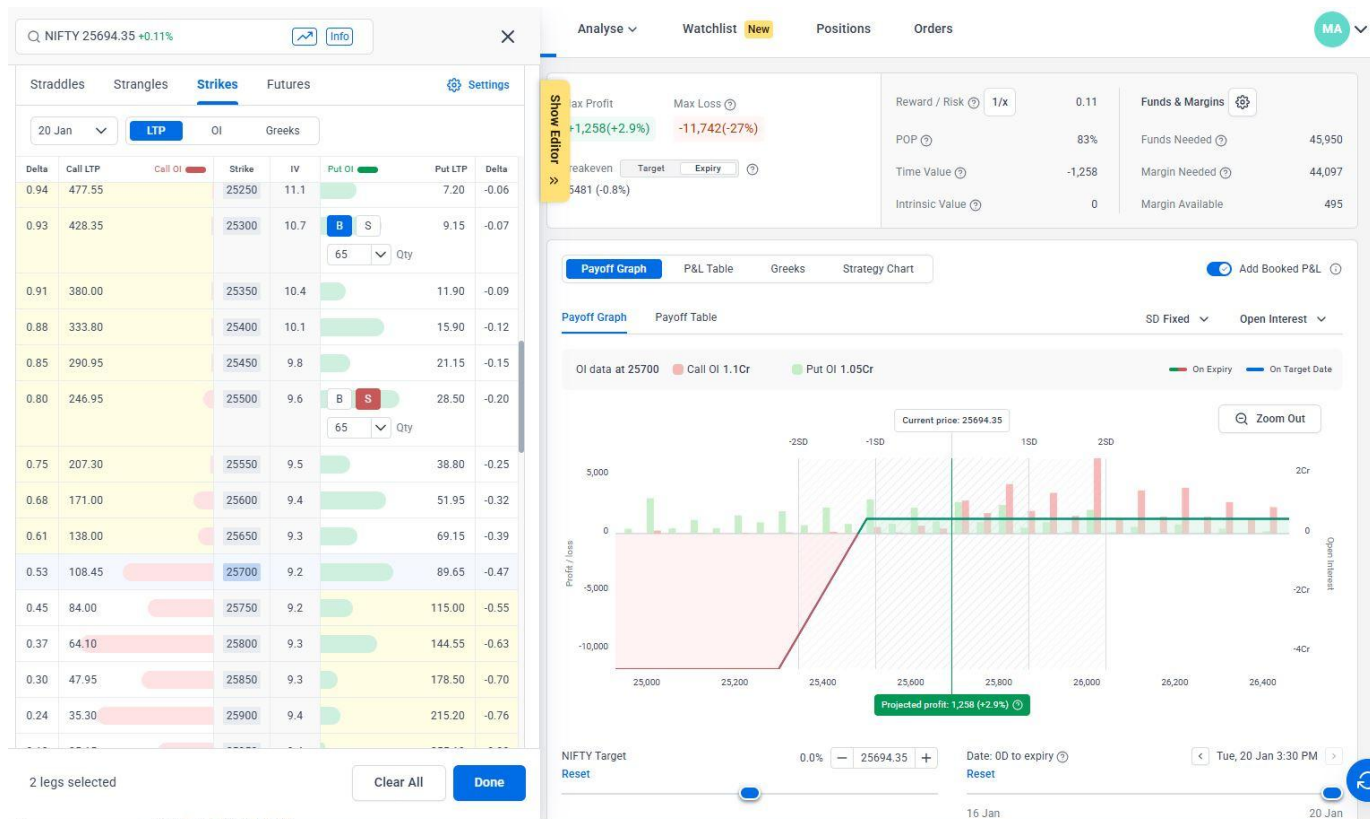
A Bull Put Spread is selling a Put option at a higher strike and buying a lower strike Put for protection (credit spread).

When to Use

- Mildly bullish market view
- Expect limited upside or sideways movement
- Want directional trade with limited risk



Implementation and payoff graph



Maximum Profit

- Limited
- Net credit received
- Achieved when both Puts expire worthless

Maximum Loss

- Limited (known upfront)
- Strike difference minus net credit
- Occurs when price closes below lower strike

Break-even Point

- $BE = \text{Sold Put Strike} - \text{Net Credit}$

Call Ratio Spread

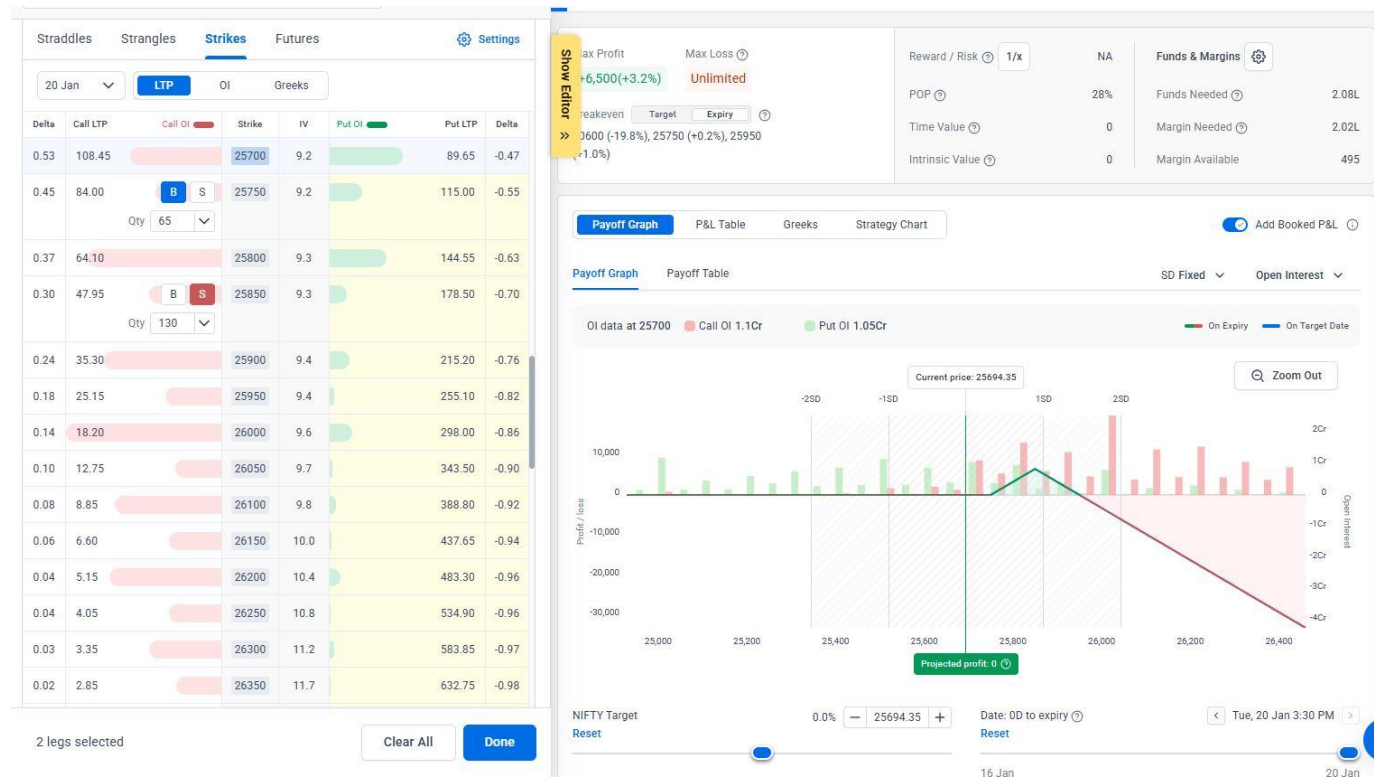
What is?

A **Call Ratio Spread** is an option strategy where you **buy fewer Call options and sell more Call options** at higher strike prices,
all with the **same expiry**. (Common ratio: **Buy 1 Call, Sell 2 Calls**)

When to Use

- Moderately **bullish** view on the market
Expect price to rise **slowly**
- No expectation of a sharp upside breakout

Implementation and payoff graph



Payoff Graph

P&L Table

Greeks

Strategy Chart

Add Booked P&L

Payoff Graph

Payoff Table

SD Fixed

Open Interest

OI data at 25700

Call OI 1.1Cr

Put OI 1.05Cr

On Expiry

On Target Date

Current price: 25694.35

Zoom Out

Profit / loss

25,000

25,200

25,400

25,600

25,800

26,000

26,200

26,400

20Cr

10Cr

0

-10Cr

-20Cr

-30Cr

-40Cr

Projected profit: 0

NIFTY Target

Reset

0.0%

25694.35

+

Date: 0D to expiry

Reset

16 Jan

20 Jan

Maximum Profit

- Limited
- Occurs near the short call strike
- Best when price expires around the sold Call strike

Maximum Loss

- Unlimited
- Happens if price moves sharply above the short strikes
- Risk increases after breaching the upper range

Break-even Points

- **Lower Break-even**
= Long Call Strike + Net Premium Received/Paid
- **Upper Break-even**
= Depends on strike gap and net premium
(Beyond this, losses start increasing)

Put Ratio spread

What is?

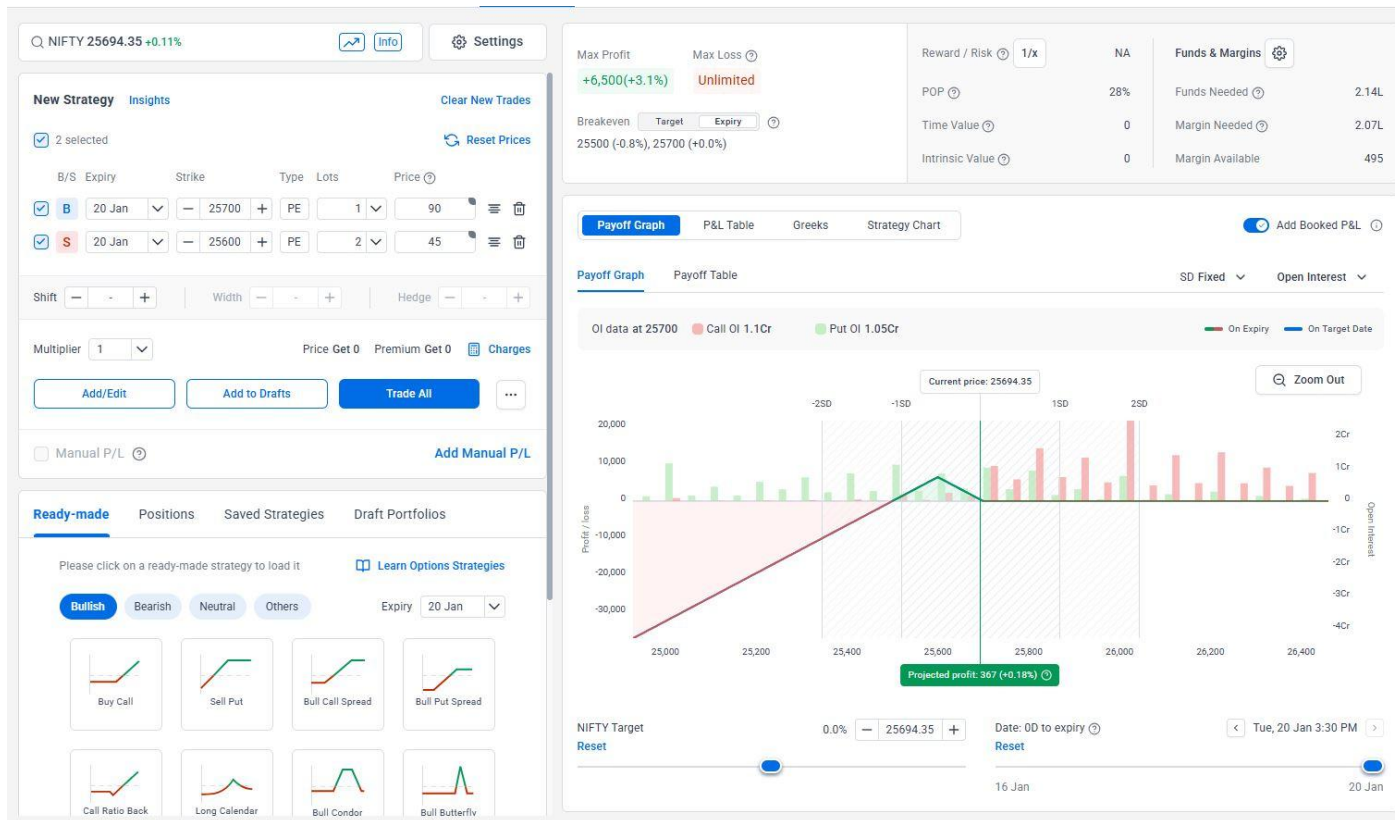
A **Put Ratio Spread** is an option strategy where you **buy fewer Put options and sell more Put options** at lower strike prices, all with the **same expiry**. (Common ratio: **Buy 1 Put, Sell 2 Puts**)

When to Use

- **Moderately bearish** view on the market
- Expect a **slow or limited fall**
- No expectation of a sharp downside crash



Implementation and payoff graph





Maximum Profit

- Limited
- Occurs near the short put strike
- Best when price expires around the sold Put strike



Maximum Loss

- Unlimited
- Happens if market falls sharply below the short strikes
Risk increases rapidly in strong downtrends



Break-even Points

- **Upper Break-even**
= Long Put Strike – Net Premium Received/Paid
- **Lower Break-even**
= Depends on strike distance and net premium
(Below this, losses start increasing)

All The Strategies In A Brief Summary:

Strategy	Market View	Structure (Simple)	Max Profit	Max Loss	Risk Level
Short Straddle	Strong consolidation (sideways near ATM)	Sell ATM Call + Sell ATM Put	Limited (Total premium received)	Unlimited	 Very High
Short Strangle	Sideways with wider range	Sell OTM Call + Sell OTM Put	Limited	Unlimited	 High
Iron Fly	Tight consolidation near ATM	Short Straddle + OTM Call & Put hedge	Limited	Limited	 Medium
Iron Condor	Sideways with wider range	Short Strangle + farther OTM hedge	Limited	Limited	 Low

Strategy	Market View	Structure (Simple)	Max Profit	Max Loss	Risk Level
Bear Call Spread	Mild to strong bearish	Sell Call + Buy higher Call	Limited	Limited	● Low
Bull Put Spread	Mild to strong bullish	Sell Put + Buy lower Put	Limited	Limited	● Low
Call Ratio Spread	Moderately bullish	Buy 1 Call + Sell 2 OTM Calls	Limited	Unlimited	● Medium
Put Ratio Spread	Moderately bearish	Buy 1 Put + Sell 2 OTM Puts	Limited	Unlimited	● Medium

Option Selling Adjustments

- In case the market goes in opposite direction, Option Selling Adjustments can limit the loss using few methods.
- a. **Shifting:**
 - When the market goes down, and if it is expected to go further down, then close the current trade with minimum loss which is taken at the lower BEP.
 - In other words, closing or exiting at minimum loss and add a new straddle to recover the loss.

Option Selling Adjustments

b) Averaging:

- Adding another CE & PE Sell with a nearby contract when the trade meets BEP (BREAK EVEN POINT).

THANK YOU